



Wind River

Generating New Revenue Streams with Usage-based Billing



WIND RIVER

Business Challenge

Wind River is the worldwide leader in embedded software and services. Its software is found in more than 150 million applications today in a variety of industries, from aerospace and defense, to automotive, digital consumer, industrial, and network infrastructure equipment. Companies around the world such as Boeing, Lockheed Martin, BMW, Hyundai, Hewlett-Packard, Siemens, and Cisco turn to Wind River to efficiently create the most reliable products, and to accelerate their time to market. While already a customer of Macrovision's software licensing solution, the creation of a new business model helped drive the need for a utility-based pricing model.

According to Sean Hogan, Product Marketing Manager, Wind River Systems, "We had a traditional node-locked and floating offering. When we introduced a new business model, we moved from an existing perpetual project-based model to an any-project subscription-based model. Why utility-based pricing? It fits within the context of our new business model—which was to provide users easy access to our software so that they could create a variety of applications to bring to market."

According to Wind River's Hogan, some of its largest customers faced challenges with traditional floating licenses. "They don't work across networks, customers have to guess how many seats they need per server, and, if they guess incorrectly, developers are subject to being cut off by the license server," explains Hogan. "I looked at the strengths and weaknesses of traditional node lock and floating offerings and listened to some of the concerns of our customers. We wanted to provide another licensing alternative. That alternative is user-based licensing, which enables us to set up license servers at a customer site that can span beyond your traditional floating restrictions—things like concurrent number of users, server redundancies, and users requiring access to software over multiple sub-networks," says Hogan.

Macrovision Solution

Macrovision's product activation and licensing management software has played a key role in enabling the company's new business model, and has enabled different price points to attract new buyers. The usage metrics, which can be used for billing and market analysis, help Wind River's sales team to manage accounts differently. For instance, when customers have usage-reporting tools—which are included with the utility model—managers can see who's used the software and who hasn't in a given period. The usage

"Already an existing Macrovision FLEXnet customer, the development of a new business model drove us to a utility-based pricing model. Macrovision's utility-based solution was a key contributor to the success of our new business model."

— Sean Hogan
Product Marketing Manager,
Wind River Systems

information helps both parties improve their support plans, for example training seminars, services engagements, and project resource allocation.

"One of the key benefits of the Macrovision solution is that it provides easy access to technology. Second, it is a very objective approach to licensing. It's not about how many concurrent users you might have, or about how many license servers you need, or how many machines the product is installed on—it really comes down to making sure that software developers have access to our software," explains Hogan.

Hogan says Wind River has been using Macrovision's licensing solutions for more than 3 years, and is planning to migrate to the next Macrovision release in 2004. Hogan says that Macrovision has done a good job of making its software easy to implement and easy to embed in its products. "At the end of the day, utility pricing, although gaining in popularity, is still relatively new for customers and software publishers."

Hogan points out one caveat that other software vendors should consider when evaluating this approach: "Not all buyers will be attracted to utility pricing so publishers should view it as an extension to their current offerings rather than a replacement."

Hogan also cites three key questions for software vendors considering utility pricing: First, what market forces are driving you and your customers toward utility-based pricing? Second, what's the utility you're trying to price and why have you chosen it over others? Third, who's asking for it and why? His recommendation is to evaluate the strengths and weaknesses of traditional models, and then determine what is most important to a specific market need.

Says Hogan, "A major benefit of Macrovision's utility pricing is being able to create a new offering for existing and new buyers to consider. And that usually translates into new revenue streams and an increasing ability to be more responsive to your customers."

About Macrovision

Macrovision Corporation (Nasdaq:MVSN) is the market leader in electronic licensing, copy protection, and digital rights management ("DRM") technologies. Analysts recognize Macrovision as the clear market leader, and it's estimated that the company sells more software-based licensing solutions than all its competitors combined. Macrovision FLEXnet, the world's first universal licensing platform, enables customers to easily price, package and protect their software. More than 3000 software publishers have shipped FLEXenabled™ software, and hundreds of Fortune 1000 companies use Macrovision technologies to better manage their software licenses. The company holds over 700 software licensing and DRM patents worldwide, and has been ranked by Business 2.0 as one of the top 100 Tech Companies for two consecutive years. Headquartered in Santa Clara, California, Macrovision has international offices in London, Frankfurt, Tel Aviv, Tokyo, Taipei, Hong Kong and Seoul. More information about the Macrovision can be found at www.macrovision.com.

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Macrovision Corporation

2830 De La Cruz Boulevard, Santa Clara, CA 95050

US +1 888-755-0861 Int'l +44 (0) 870-873-6300

www.macrovision.com

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